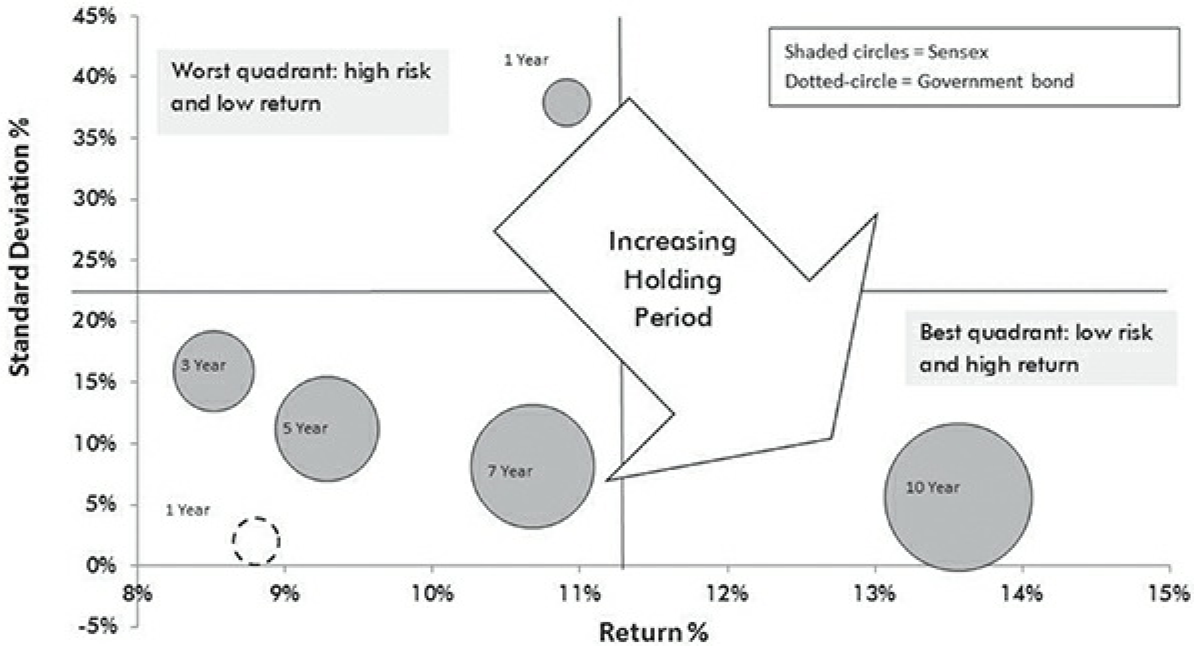
Exhibit 59: The Risk vs Return trade-off for the Sensex improves as the holding period rises (The size of the bubble denotes the holding period; the dotted-bordered bubble relates to the one-year holding period of the ten-year government bond; the plain shaded bubbles relate to the Sensex.)



Source: Bloomberg, Ambit Capital
Note: Period under consideration is January 1991–February 2017. The investment horizons are calculated on a rolling basis. For instance, the median one-year return is the median returns generated by considering 1311 one-year periods including 01/01/1991 to 01/01/1992, 08/01/1991 to 08/01/1992 and so on.

Adding the quality premium to the patience premium

Let us assume that the 'quality' of a stock is defined as the quality of its returns profile—healthy and sustainable, i.e. consistently good, being better than weak and unsustainable. In order to understand how improving the quality of a stock portfolio affects its performance for various holding periods, we re-run the analysis highlighted above whilst replacing Sensex returns with the seventeen iterations of Coffee Can Portfolios of 2000 to 2016.[1]